



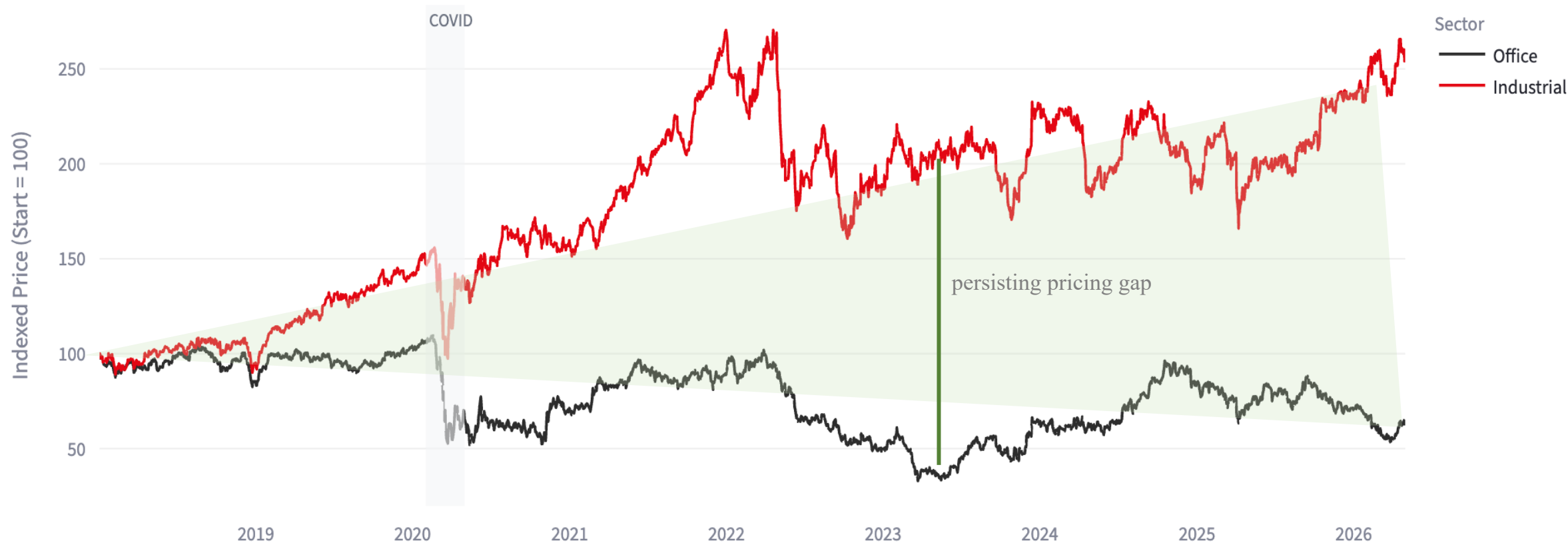
Strategic Implications of Industrial & Office Divergence in CRE Markets

Quinn Medak
Business Intelligence Analyst

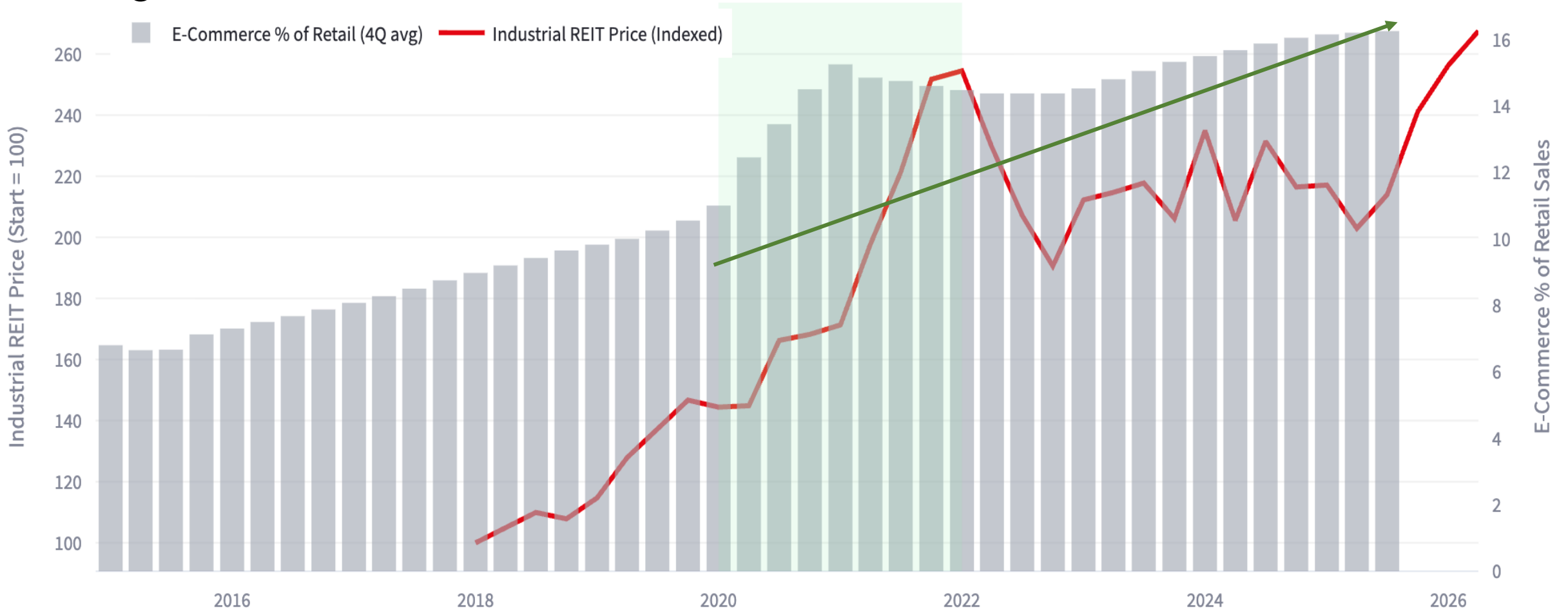
Market Insights and Investment Strategy Update
for Private Equity

A Sharp Divergence in Investor Capital: Industrial **+160%** vs. Office **-36%** Since 2018

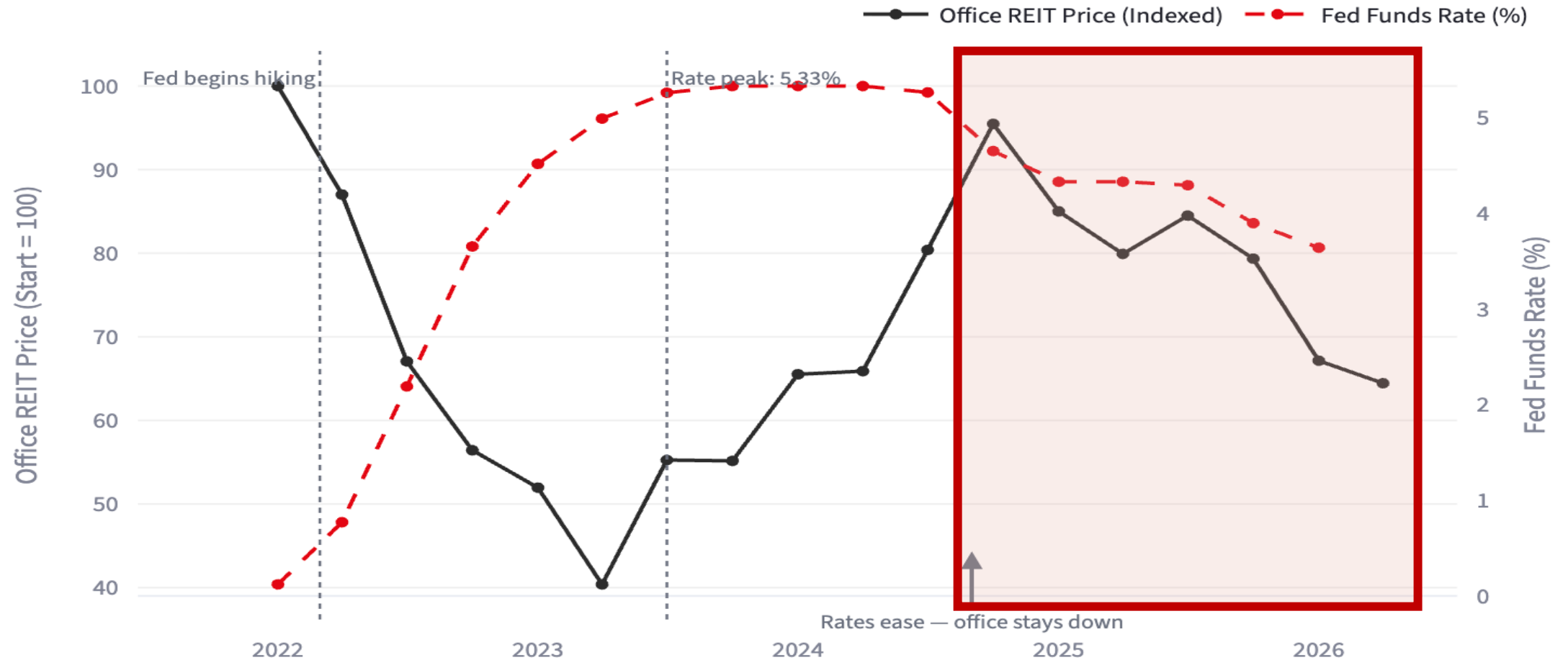
Industrial REITs up ~160% since 2018; office down ~36% — and the gap is still widening.



E-Commerce Share of Retail Rose ~ 4 Percentage Points in 2020 and Held, Permanently Shifting Industrial Demand



Office Underperformance Persists Beyond the Rate Shock, Signaling Structural Weakness (-21% YoY REIT Price | Decline, Q1 2026)



Source: yfinance · FRED (FEDFUNDS) via Snowflake · FACT_DAILY_PRICES, FACT_MACRO_QUARTERLY

Rotate ~\$150M into Industrial: Structural E-Commerce Demand Drives **44% Income Growth** as Rents Return to Equilibrium

Stakeholder Assumption (based on realistic PE firm size):

For a \$750M LA CRE fund (40% office / 25% industrial / 35% other)

Recommendation:

Reduce office from 40% → 20% and redeploy ~\$150M into SoCal industrial.

Prediction:

Structural industrial strength, driven by permanent e-commerce demand, will drive rents higher

Note: A spec oversupply built in response to the 2020 e-commerce boom temporarily pushed rents to \$1.21/SF (below the equilibrium the structural demand supports) As that oversupply clears, rents rise

$\$150\text{M} \div \$312/\text{SF}$ (Q4 2025 avg SoCal industrial deal price, CBRE via Bisnow) = ~480K SF acquired

